

VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 9.2
	DOCUMENT NAME PAYROLL AND REMITTANCES	REVISION NO. 1
		EFFECTIVITY DATE October 22, 2023
		PAGE NO. 1 of 6

1.0 OBJECTIVES

- 1.1 To provide a comprehensive reference in the processing of monthly salaries and deductions for mandatory personal share and other allowable deductions of employees.
- 1.2 To ensure that all employees are paid in accordance with their position and services rendered for the specified period.
- 1.3 To ensure that all deductions made and its corresponding government share are remitted accurately and timely.

2.0 SCOPE

This section shall cover guidelines and procedures practiced by the PSHS System for the payment and remittances of the following:

- a. salaries for services rendered
- b. tax withheld due to the Bureau of Internal Revenue (BIR) and premiums deducted for Government Service Insurance System (GSIS), Home Development Mutual Fund (HDMF), Philippine Health Insurance Corp. (PHIC)
- c. Government share for PHIC, HDMF and GSIS premiums
- d. Other authorized deductions from collecting agencies

3.0 POLICIES

3.1 Salaries and Other Compensation

- 3.1.1 The PSHS System shall strictly observe the provision of equal pay for substantially equal work and to base differences in pay upon substantive differences in duties and responsibilities, and qualification requirements for the positions.
- 3.1.2 Salary refers to the basic pay for work performed by an employee paid on a monthly basis.
- 3.1.3 Salary and other compensation adjustments including the grant of new benefits shall be covered by appropriate legal basis or authority.



VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 9.2
	DOCUMENT NAME PAYROLL AND REMITTANCES	REVISION NO. 1
		EFFECTIVITY DATE October 22, 2023
		PAGE NO. 2 of 6

3.1.4 No official or employee shall receive a salary equal to or higher than the salary of his/her immediate supervisor, except when otherwise authorized by law, rules and regulations.

3.1.5 No employee shall receive a salary less than the hiring rate for the position.

3.1.6 Deductions from salaries and other benefits accruing to any employee, chargeable against the appropriations for Personnel Services, may be allowed for the payment of an individual employee's contributions or obligations.

In no case shall the foregoing deductions reduce the employee's monthly net take home pay to an amount lower than what is specified in the General Appropriations Act (GAA).

3.2 GSIS, HDMF, and Philhealth Remittance

3.2.1 Irrespective of employment status, membership in the GOCCs like the GSIS, HDMF and Philhealth shall be compulsory for all employees receiving compensation who have:

- not reached the compulsory retirement age at the time of appointment; or
- worked continuously past the end of term.

3.2.2. The premium contribution shared by the PSHS and the employee shall be remitted to the respective GOCCs in accordance with the prevailing rates and prescribed deadline of payment.

3.2.3 PSHS shall indicate on the employee's pay slips all deductions for all contributions, including loan amortization payments, deducted from said employee's compensation or issue corresponding receipts for said purpose.

3.2.4 In cases where an employee is suspended from work or is on leave without pay, the duty of the PSHS to deduct and remit contributions and monthly amortization payments, if any, from the member shall be suspended. PSHS shall not be required to pay the counterpart contribution for the duration of the employee's absence. PSHS's



VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 9.2
	DOCUMENT NAME PAYROLL AND REMITTANCES	REVISION NO. 1
		EFFECTIVITY DATE October 22, 2023
		PAGE NO. 3 of 6

obligation to pay and remit the monthly contribution, including the counterpart obligation, shall resume upon the employee's resumption of duty.

- 3.2.5 In cases of employee's death, resignation, or separation from the employer, the duty of PSHS to deduct and remit monthly contributions and monthly amortization payments, as well as to pay the employer counterpart, shall cease.

3.3 BIR Remittance

- 3.3.1 Withheld taxes from compensation or income payments to individuals arising from an employer-employee relationship shall be remitted to the Bureau of Internal Revenues in thru Tax Remittance Advice. Each employer shall file the return and pay the corresponding taxes thru the electronic filing and payment system (EFPS) website of the BIR.

4.0 PROCEDURES

4.1 Salary Payroll Preparation

Responsibility	Activity
HRM Officer	1. Prepares payroll and forwards to the Accounting Assistant together with DTRs, Summary of Attendance, Undertime/Tardiness, Leave of Absence Without Pay and other documents deemed necessary
Accounting Assistant	2. Receives and reviews completeness of personnel information on salaries, salary adjustment, other HR documents and statement of accounts or billings, if any
Accountant	3. Computes withholding taxes from the current salaries and taxable benefits, specified under BIR regulations, and checks the complementary employee premiums and loan obligation due to Philhealth, HDMF, GSIS and other authorized deductions



VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 9.2
	DOCUMENT NAME PAYROLL AND REMITTANCES	REVISION NO. 1
		EFFECTIVITY DATE October 22, 2023
		PAGE NO. 4 of 6

4. Signs "Certified" (as to the completeness of supporting documents and cash availability) portion of the payroll and ensures that net take home pay of employees shall not be less than the amount prescribed by law

FAD Chief

5. Reviews the completeness and propriety of the payroll and signs the "Certified" (as to services duly rendered) portion. Forwards the payroll to the Director/Authorized signatory

Director/Authorized Signatory

6. Approves the payroll for payment endorses it to HRM Officer for the Disbursement Process.

4.2 GSIS, HDMF, PHIC, and Other Authorized Deductions Remittance

4.2.1 Preparation and Remittance of Contributions

Responsibility	Activity
Designated Staff	1. Receives or downloads billing statement from the GOCCs and other collecting agencies 2. Checks, reviews and prepares the summary of remittances in the required format
Accountant	3. Reviews and certifies the summary and forwards to designated staff for processing of payment

4.3 BIR Remittance on Withholding Tax - Compensation

Responsibility	Activity
Accounting Assistant	1. Prepares summary of taxes withheld which will serve as basis for the remittance to the BIR
Accountant	2. Files tax returns thru the eFPS



VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 9.2
	DOCUMENT NAME PAYROLL AND REMITTANCES	REVISION NO. 1
		EFFECTIVITY DATE October 22, 2023
		PAGE NO. 5 of 6

3. Prints the validated TRA and signs on the “certified by” portion of the required tax return for all taxes withheld for compensation

Executive/Campus
Director

4. Reviews and approves the TRA

5.0 LIST OF FORMS AND REPORTS

5.1 Forms

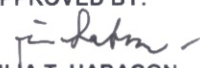
5.2 Reports



VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 9.2
	DOCUMENT NAME PAYROLL AND REMITTANCES	REVISION NO. 1
		EFFECTIVITY DATE October 22, 2023
		PAGE NO. 6 of 6

REVISION HISTORY

DCR No.	Section	Amendment/s	Revision No.	Implementation Date
-	Complete re-write of Version 1	Original Issue and Initial Implementation	0	February 1, 2020
23-00-010	1.1, 1.3, 4.1.1, 4.1.4, 4.1.5, 4.2.1, 4.3.1	Revised objectives 1.1 and 1.3; item b of the Scope; 3.2.1; Activity #1, #4, #5, and #6 of procedure 4.1; Responsibility in Activity #1 of procedure 4.2.1; Activity #1 of procedure 4.3; added revision history	1	October 22, 2023

PREPARED BY:  MA. CONCEPCION B. SAKAI FAD Chief	APPROVED BY:  LILIA T. HABACON Executive Director	 MASTER COPY
--	--	---